Cipher Digital (CIFR) — Earnings Brief

3Q26 | 2 November 2026 | Post-call version | Josh (transcript work: Trevor)

Executive snapshot

Consensus thesis: Investors own Cipher as a Texas build-to-suit landlord whose 700 gross MW of backstopped or investment-grade leases turn into rent as halls are delivered, while pricing heavy doubt about build cost, dilution and parent funding.

Thesis status: Monitoring

Versus expectations: Quarter: miss on revenue ($26.7mn vs $38.44mn at the preview date, $38.69mn at the print), small diluted EPS beat (-$0.22 vs about -$0.25), and adjusted EBITDA -$10.0mn with no consensus found. Outlook: in line; no formal guidance, Barber Lake dates held on the September schedule, but FY26 revenue consensus of about $216mn now needs about $130mn in 4Q.

Biggest changes

• First rent, but small: 18 critical IT MW delivered at Black Pearl and $5.9mn of HPC lease revenue; mining was still 78% of revenue, so total revenue missed consensus by about 31%.

• Cipher issued a ready-for-service notice for Barber Lake's first 51 critical IT MW (call only; not yet rent). Cost is now about $13.0mn per IT MW against $10.4mn financed; management puts average yield on cost back at 15.2% only with the 20-year lease (12.9% without it).

• Management said early leases were rushed on immature designs. New leases wait for 30% to 60% design completion and are priced on yield on cost, which slows signing: no new campus lease since March.

• Shares rose 9.9% in a month (415.1mn at 30 September to 456.4mn at 30 October) on the convert exchange, and the 10-Q still names at-the-market sales as a liquidity source. Pro forma unrestricted cash and bitcoin is $724mn.

• Not asked on the call: Google's warrants carry a $435mn value test when the Fluidstack lease commences. At about $6.93 the 26.2mn warrant shares are worth about $182mn, so a shortfall of roughly $250mn would be owed in shares or cash [our approximate arithmetic; how value is measured is not disclosed].

• Project notes marked down: 10-Q fair values fell to 100.5, 97.9 and 95.6 of par at 30 September from 104.2, 101.5 and 100.4 at 30 June.

Investor takeaway: The contracted-rent view holds but should move from 'overruns are a one-off' to 'returns were preserved by a longer lease and parent cash': Barber Lake's cost rose 25% to about $13.0mn per IT MW, 41mn new shares followed, no new campus lease was signed, and long-term credit quality holds rather than improves until halls bill on schedule.

Monitor next quarter

• MW billing at 31 December by site, against 18 MW today and the 51 MW Barber Lake notice; first Barber Lake rent in the 4Q release.

• ERCOT final Batch Zero classification for Colchis in December, and any signed lease at Reveille, Ulysses or Odessa, with its funding mix.

• Parent cash after remaining Barber Lake funding, at-the-market use below $10, and how the Google warrant shortfall is settled at Fluidstack lease commencement.

Pillar scorecard

Pillar	What the quarter showed	Verdict
P1 Rent starts on schedule	18 MW delivered; 51 MW Barber Lake RFS notice; dates held. No MW-by-date schedule, and Black Pearl and Stingray both 'implementing updated phased delivery schedule'; three Black Pearl amendments revised milestones	Unresolved
P2 Tenant credit is investment-grade	Deck repeats 'high investment-grade'. Backstop scope for years 11-20 not disclosed or asked; lab unnamed (deck p.7 names Anthropic with Fluidstack only on a water commitment); 10-Q says backstops apply only after rent commencement and carry limits	Unresolved
P3 Build costs are contained	$13.0mn per IT MW vs $10.4mn financed (+25%), $9mn-$11mn guided; $409mn of change orders, tenant repays $50mn. Hyperscaler leases have capex allowances; next leases face inflation through 2027	Challenged
P4 Funded without common equity	$724mn pro forma; $1,610mn construction commitments mostly backed by project cash. Shares +9.9% in a month; ATM still a named source ($129.2mn raised in 9M at $23.50); equity for next project not addressed	Challenged
P5 Pipeline becomes leases	No new campus lease since March (the AI lab's Barber Lake term is the only new agreement). Reveille and Ulysses still 'in discussions'; Colchis conditional, with any lease conditional on interconnection; design-first policy slows signing	Challenged

Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Flag
Revenue ($mn)	26.7	24.8	71.7	+7.5% / -62.8%	[↓]
HPC lease revenue ($mn)	5.9	nil	nil	new	[↑]
Adjusted EBITDA ($mn)	-10.0	-30.0	40.8	better / worse	[↑]
Interest expense ($mn)	59.0	66.7	1.3	-12% / n.m.	[~]
Critical IT MW delivered	18	0	0	new	[↑]
Contracted revenue ($bn)	16.6	11.4	n.a.	+46%	[↑]
Capex, cash ($mn)	1,553	964 (H1)	n.d.	sharply up	[↓]
Cash, unrestricted ($mn)	656	832	n.d.	-21%	[↓]
Debt principal ($mn)	6,016 (6.7bn pro forma)	6,016	n.d.	flat before Oct.	[↓]
Shares out (mn)	415.1 (456.4 on 30 Oct)	n.d.	n.d.	+9.9% in Oct.	[↓]

Key guidance

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
Barber Lake delivery	Halls 4Q26 to 1Q27; 51 MW RFS	Maintained since Sept.; October rent in August	Rent timing in line	Aligned with tenant compute deployment	KBW cut target $28 to $11, keeps Outperform
Black Pearl	Multiple halls by year-end; no MW	'Updated' schedule	n.a.	Phase I fit-out; Phase II electrical	Date risk unpriced

Top risks

Risk	Prior status	Current	Direction	Implication
Google warrant top-up	Not flagged	$435mn value test the day before lease commencement; 26.2mn shares at $6.93 worth about $182mn, shortfall about $253mn	New	About 37mn shares at $6.93, or cash; timing depends on when commencement starts the exercise period, not disclosed [our arithmetic, approximate]
Barber Lake cost	Preview risk	About $13.0mn per IT MW; shared 50/50 above $359.3mn	Up	Parent bears more if costs rise
Parent funding, dilution	Preview risk	$724mn; shares +9.9%; ATM named	Up	Equity below $10 dilutes NOI per share

Analyst focus

Trevor: analysts pressed build cost and yields (UBS, Cantor), on-site gas (BTIG, Compass Point) and Odessa and Texas exposure (Wells Fargo). Nobody asked about the backstop for years 11-20, remaining Barber Lake equity, the convert puts or the warrant test.

Monitoring

Signals: (1) MW billing by site at 31 December; (2) ERCOT December result; (3) a signed lease and its funding mix; (4) ATM use in 4Q; (5) NOI per share. Tripwires: Barber Lake hall dates slip again; cost above $13.0mn per IT MW; equity issued below $10; rent credits. Confirmation: 51 MW plus further halls billing in 4Q revenue; a lease at Reveille or Ulysses funded at project level.

Read-across for Kona

Management's own account is the lesson: leases signed on immature designs cost Cipher 25% on build cost, and the hyperscaler leases with capex allowances passed overruns to the tenant while the modified-gross Fluidstack lease passed on only half of costs above the first $359.3mn. Kona should freeze design to at least 30% before signing and write a capex allowance into any lease. Rents are reportedly moving with financing costs, so Kona should quote on yield on cost (Barber Lake's achieved figure is about 15%; no target was stated) rather than a fixed $/kW-month. On-site gas is converging on an independent power producer that sells to the tenant under a PPA, with yields in line with grid sites, and Cipher targets gas in 2027 and about 1 GW of talks, so Kona's off-grid edge must rest on speed and gas cost, not on the model being unusual.